

Micron Technology, Inc.

MU NASDAQ

Buy	\$1034.53 ▼ 0.13%	12M Price Target \$1200.00	52-Week Range \$179.61 – \$1255.00	Market Cap \$1.17T
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MU: AI Memory King Riding CHIPS Act Tailwinds

WHAT HAPPENED

- MU is basically flat today (-0.13%) after a wild week — ran to \$1,088 on Tuesday then gave back ~5% over two days. That's classic "profit-taking after a rip" behavior, not a thesis-breaking move. The stock sits at 79% of its 52-week range, meaning it's closer to the highs than the lows but not stretched.
- Options flow is screaming bullish — massive call buying at the \$1,020-\$1,030 strikes expiring this month, with volume 40x+ the open interest. Translation: big money is betting MU holds this level or rips higher into month-end. Someone knows (or thinks they know) something.

WHY IT MATTERS

Here's what I think is really going on: MU has become THE pure-play way to bet on AI memory, and the market is treating it like a semi-utility for the AI buildout. The pullback from \$1,088 isn't weakness — it's digestion after a monster run (remember, 52-week low was \$179). The unusual call activity tells me institutions are using this dip to add exposure before what they expect to be a strong Q1 FY2027 print, where HBM3E (the memory NVIDIA needs for Blackwell/Rubin GPUs) revenue should inflect hard. The real inference: with memory supply still tight through 2027 and Micron the only US-domiciled major player, pricing power is in their favor for at least 4-6 more quarters.

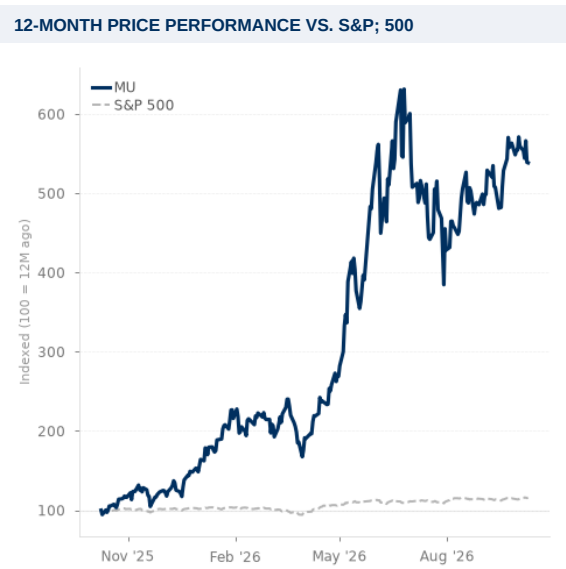
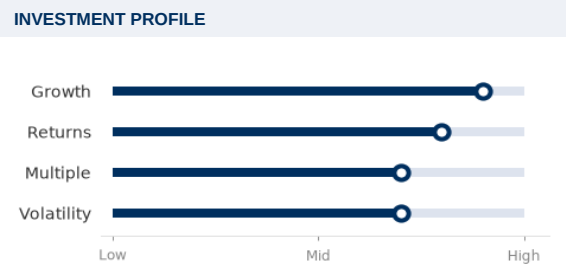
POLICY & POLITICAL WATCH

Micron is the single biggest beneficiary of the CHIPS Act — they got ~\$6.1B in direct grants plus loan guarantees for the Idaho and New York fabs, and the Trump administration (despite earlier rhetoric about clawing back CHIPS money) has actually accelerated milestone payments because reshoring memory production is now a bipartisan national security priority. Watch two things: (1) any new export controls on advanced memory to China — MU gets ~11% of revenue from China so this cuts both ways, and (2) the proposed semiconductor tariff framework being floated in the Senate Finance Committee, which would add duties on imported memory chips. If that passes, it's a direct gift to Micron's pricing versus Samsung and SK Hynix.

IS IT EXPENSIVE?

At ~24x forward earnings, you're paying \$24 for every \$1 of profit MU is expected to earn next year — that's a premium to the historical memory-cycle average of 12-15x, but memory stocks always look "expensive" at the start of an upcycle and "cheap" at the top (that's the trap). The better frame: EV/EBITDA around 14x is reasonable for a company growing revenue 30%+ with structural AI demand underpinning it. Fairly valued to slightly cheap if you believe the HBM cycle runs through 2027 — expensive if you think we're near peak memory pricing.

Key Data	
Price (USD)	\$1034.53
12M Price Target	\$1200.00
Upside / (Downside)	+16.0%
Market Cap	\$1.17T
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$42.50
FY2027E EPS	\$58.00
Fwd P/E	24.3x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1150.00	\$1075.00	\$950.00
6 Months	\$1300.00	\$1150.00	\$850.00
1 Year	\$1450.00	\$1200.00	\$800.00
2 Years	\$1800.00	\$1400.00	\$750.00
5 Years	\$2500.00	\$1800.00	\$650.00
10 Years	\$4000.00	\$2500.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate (+1.62%) and Utilities (+0.79%, +3.93% over 5 days) — this is actually an AI story in disguise. Data center REITs and power utilities are getting bid because every AI chip needs real estate and electricity. Healthcare also strong on policy clarity.

COOLING OFF: Tech/Semis aren't in the top movers today, which suggests some rotation OUT of the hot AI trade into more defensive sectors — not bearish for MU specifically but worth watching.

ROTATION WATCH: Money is quietly moving into "AI picks and shovels adjacent" — utilities, REITs, materials. That's a tell that institutions still believe in the AI thesis but are looking for less crowded expressions of it.

RELATED PLAY: If you believe the MU story, Vertiv (VRT) for data center cooling and Constellation Energy (CEG) for the power to run these chips are the second-order plays. Also Applied Materials (AMAT) sells the equipment MU uses to make HBM.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI demand creator — every dollar they sell to hyperscalers pulls MU memory along with it.
- AVGO (Broadcom): Custom AI silicon ramping fast at hyperscalers, which also drives HBM demand.

MU CONTEXT: MU has actually outperformed most semi peers over the past year (up ~5x from the 52-week low) because the HBM supply tightness story is more acute than general semi demand. The stock leading its peer group tells me institutions view it as a differentiated AI play, not just a cyclical memory name. That's a regime change worth respecting.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$980-1030 on sector pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing collapses >20% or Samsung/SK Hynix flood the market with cheaper supply

Hedging: Pair with a small short in a consumer-exposed memory name or buy SMH puts to hedge sector risk